investment avenues. Lower inflation will be the key. In the meantime, increasing exports at the present juncture is proving to be a more difficult task, given the slow global recovery. Greater competitiveness of exports through greater corporate productivity as well as better logistics infrastructure will help, as will diversification towards fast growing emerging and frontier markets—which is under way. But a return to strong export growth will depend on the revival of growth in industrial countries.

With net exports declining, India's **balance of payments** (BoP) has come ***under pressure***. So far the CAD has been financed without drawing on reserves. Net capital flows declined to US$ 40.0 billion (4.8 per cent of GDP) in H1 of 2012-13 as against US$ 43.5 billion (4.8 per cent of GDP) in H1 of 2011-12 (Table 1.9). Net foreign direct investment (FDI) to India decreased but net portfolio flows including foreign institutional investments (FII) increased, with early estimates suggesting an even larger inflow of US$ 9.9 billion in the third quarter as compared to US$ 5.8 billion in the second quarter. Non-resident Indian (NRI) deposits remained robust as did net flows of trade credit. Despite the large CAD, therefore, there was net accretion to reserves (on BoP basis) during H1 of 2012-13 at US$ 0.4 billion. This was, however, lower than the US$ 5.7 billion accretion in H1 of the previous year.

In the current fiscal, **foreign exchange reserves** have fluctuated between US$ 286.0 billion and US$ 295.6 billion. At end January 2013, reserves stood at US$ 295.5 billion, indicating a marginal increase from US$ 294.4 billion at end March 2012. The rupee, however, has been more volatile. Between April 2012 and **January 2013**, the monthly average value of the rupee per US dollar fluctuated significantly, touching an all-time low of Rs. 57.22 per US dollar on 27 June 2012, thus depreciating by 10.6 per cent from Rs. 51.16 per US dollar on 30 March 2012. In the subsequent months of July to September 2012, the rupee appreciated, touching Rs. 51.62 per US dollar on 5 October 2012. It began depreciating again thereafter and the monthly average exchange rate has since been in the range of Rs. 53.02 to Rs. 54.78 per US dollar during October 2012 to January 2013.

The **REER** (real effective exchange rate), which takes into account domestic inflation in India, and is an important determinant of the